Privacy and protections

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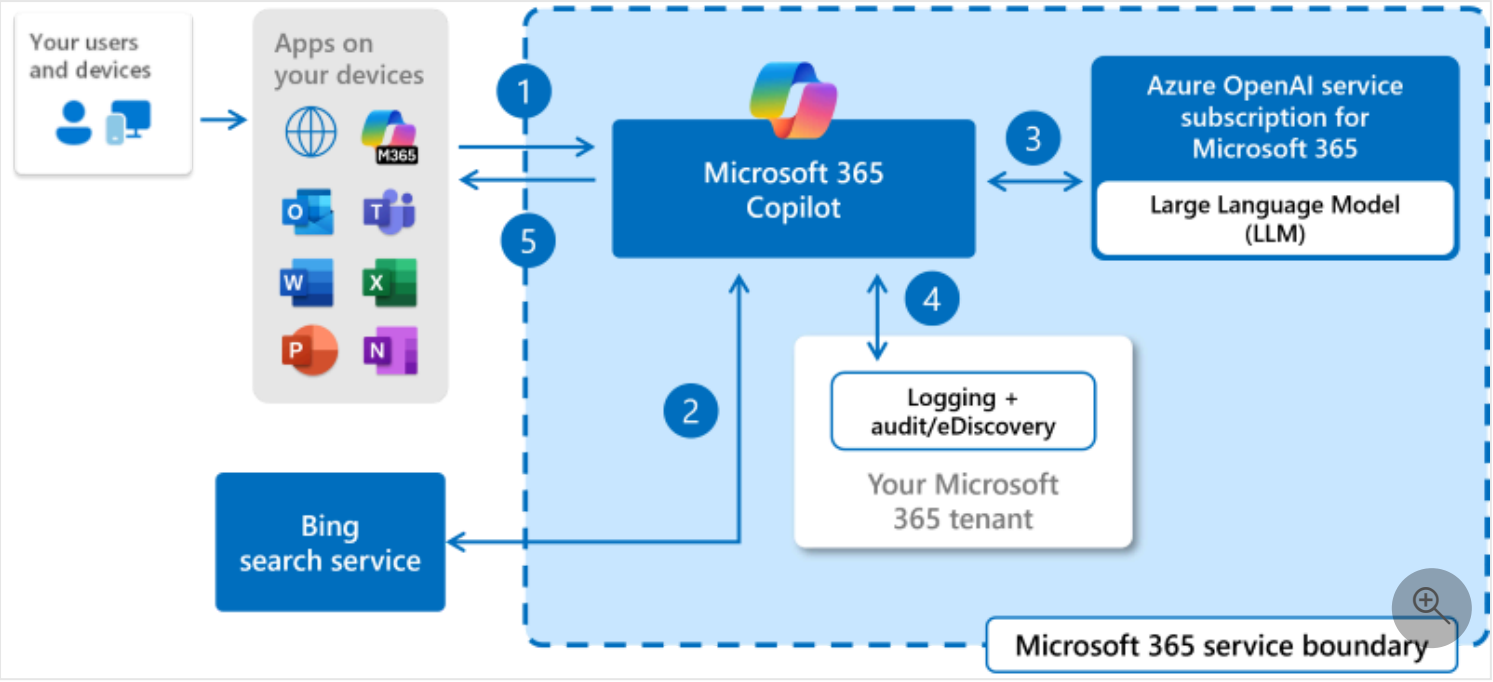
Microsoft 365 Copilot Chat architecture diagram

Microsoft 365 Copilot Chat prompts and responses are processed within the Microsoft 365 service boundary which offers enterprise data protection. This means that security, privacy, and compliance controls and commitments available for Microsoft 365 Copilot also extend to Microsoft 365 Copilot Chat prompts and responses. Prompts and responses aren't used to train the underlying foundation models.



1. **Prompt**: User selects a prewritten prompt or writes their own prompt in Copilot Chat from the web, the Microsoft 365 Copilot app, Teams, or Outlook. The prompt is sent to the Copilot orchestrator for processing. Microsoft 365 Copilot Chat uses the same orchestrator as Microsoft 365 Copilot to process prompts and responses. It coordinates Responsible AI (RAI) safety checks throughout the process and logs the interaction for auditing/eDiscovery.

   The specific controls and policies vary depending on the underlying subscription plan.

   > **Note**
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   > As of mid-August 2025, Copilot Chat is rolling out to select Microsoft 365 apps (Word, Excel, PowerPoint, OneNote). It's being deployed in phases over a period of weeks to ensure a quality-driven release.

2. **Grounding**: Copilot preprocesses the input prompt using web grounding via the Bing search service (only applicable if web grounding is enabled). Web grounding sends web search queries consisting of a few words generated from the prompt to Bing to provide relevant information for the response. Queries are sent via a secure connection to Bing and don't include any user or tenant identifiers.

Additional contractual protections apply to these queries when sent to Bing. For more information on web search queries, see Privacy and security for generated search queries.

Unlike Microsoft 365 Copilot, Copilot Chat is not grounded in organizational content like files, emails, or chats as part of the chat experience—it is grounded in data from the web only. If Copilot Chat users would like to use organizational content in their chat, they can do so in three ways:

- As part of their prompt (such as copying and pasting in content, uploading a file, including a file by typing '/' and selecting it from the ContextIQ menu, or selecting a suggested prompt which contains a file).
- By using Copilot Chat in select Microsoft 365 apps like Word, Excel, PowerPoint, OneNote, and Outlook with content they have open. In this scenario, Copilot Chat is aware of the user's open content and is able to engage with it instead of requiring the user to upload a file or copy and paste the content into Copilot Chat.
- By using a pay-as-you-go agent that has access to organizational content.

Learn more about organizational data and Copilot Chat.

3. **Large Language Model (LLM)**: Copilot sends the grounded prompt to the LLM to generate a relevant response. Microsoft 365 Copilot Chat may use multiple models to generate a response.

4. **Logging**: Before sending the response back to the user, both the prompt and response are logged and stored in Exchange for auditing/eDiscovery (Microsoft 365 tenant).

5. **Response**: Copilot coordinates Responsible AI (RAI) safety checks and returns the response to the app and the user.

Enterprise data protection for prompts and responses

Microsoft 365 Copilot Chat offers enterprise data protection (EDP) for prompts and responses. EDP is available in Copilot Chat at no extra cost. Copilot Chat makes it clear that enterprise data protection is applied by featuring a green shield along the top of the user interface next to the New Chat button.

Enterprise data protection refers to controls and commitments, under the Data Protection Addendum (DPA) and the Product Terms, that apply to customer data for users of Microsoft 365 Copilot and Copilot Chat, with Microsoft acting as a data processor.

Get more details on enterprise data protection for prompts and responses in Microsoft 365 Copilot and Copilot Chat.

Privacy and security of generated search queries

To help improve the quality of responses, Copilot Chat can use web search queries sent to the Bing search service to ground responses in the latest information from the web.

The Bing search service operates separately from Microsoft 365 and has different data-handling practices from those used for prompts and responses. These data-handling practices are covered by the Microsoft Services Agreement between each user and Microsoft, together with the Microsoft Privacy Statement. This means that Microsoft acts as an independent data controller responsible for complying with all applicable laws and controller obligations. This approach is consistent with other optional connected experiences that rely on Bing.

Learn more about data, privacy, and security of web queries.

How generated search queries work: Copilot Chat parses a user's prompt and identifies terms where web search would improve the quality of the response. Based on these terms, Copilot Chat generates a search query that it sends via secure connection to the Bing search service asking for more information.

This generated search query is different from the user's original prompt—it consists of a few words informed by the user's prompt. Additional terms from uploaded files or content actively viewed in Edge may also be sent to the Bing search service to ground responses if Copilot Chat needs them to understand the user's prompt.

The following information is **not included** in the generated query sent to the Bing search service:

- The user's entire prompt, unless the prompt is very short (for example, "local weather")
- Entire files uploaded into Copilot Chat (uploaded files are stored in a user's OneDrive for Business as part of enterprise data protection)
- Entire web pages or PDFs summarized by Copilot Chat in Edge
- Any user or tenant identifiers (for example: username, domain, or tenant ID)

Generated web search queries aren't shared with advertisers. Also, web search queries sent to Bing don't impact any of the following:

- Search ranking
- Answers or features like rich captions
- Social features like autosuggest, trending, and zero input

After Copilot Chat receives additional information from the Bing search service, this information is used to compose the response returned to the user. This table provides examples of a user's prompt and the generated search queries sent to Bing. It also explains how Copilot Chat formulates a response.

Expand table

User prompt	Generated search queries	How Copilot Chat provides a response
We're considering a possible acquisition of Fabrikam. Summarize financial information about the company, including their business strategy.	Fabrikam strategy Fabrikam financials	Copilot Chat returns a response that includes publicly available information relevant to these two search queries.

User prompt	Generated search queries	How Copilot Chat provides a response
Along with the prompt, the user uploads a document about clean energy strategy. Summarize this document and tell me if Fabrikam has publicly announced a similar approach.	Fabrikam clean energy policy announcements	Copilot Chat reasons over this document and identifies "clean energy policy" as a major theme. "Clean energy policy" is added to the generated search query sent to the Bing search service (the document itself isn't included). The rest of the generated query is inferred from the prompt itself. Copilot Chat then takes web search results returned from Bing and identifies any similarities between this public information and the strategy described in the internal document. After the chat session ends, the document is no longer retained by Copilot Chat.
User has navigated to a public news article on the web about clean energy and uses Copilot Chat in Edge to ask for a summary. What does this article say about clean energy?	None	To generate a page summary, Copilot Chat can infer all needed information from the text on the page itself. No generated search query is necessary. After the chat session ends, any information from the web page is no longer retained by Copilot Chat.

Web search query citations

To provide greater visibility into the generated search queries, web search query citations are shown to users in the linked citation section of the Copilot Chat response. This section shows the exact web search queries (derived from the user's prompt) that were sent to the Bing search service. Showing the exact web search queries helps users understand what search queries, along with the sites searched, were used to enhance Copilot Chat's response to their prompt. This information can help users improve their prompts and use Copilot Chat more effectively.

Web search query citations aren't available in the Copilot Chat pane within a Microsoft 365 app, such as Word or PowerPoint. Also, the web search query citations are only available in the chat thread for 24 hours.

Logging prompts and responses

With enterprise data protection, prompts and responses in Copilot Chat are now logged. The same retention policies used for Microsoft 365 Copilot can be used for Copilot Chat. This allows for new feature experiences like allowing users to return to a previous chat. Learn more about retention policies or audit logging.

> **Note**
>
> The specific controls and policies will vary depending on the underlying subscription plan.

Organizational data

Copilot Chat is a generative AI service grounded in data from the public web from the Bing search service. Unlike Microsoft 365 Copilot, Copilot Chat is not grounded in organizational content like files, emails, or chats as part of the chat experience. Users have three options to access content from their organization for Copilot Chat to use:

Option 1 – Provide content as part of their prompt: Users can provide organizational content as part of their prompt in Copilot Chat. They can do so in the following ways:

- Users explicitly type or paste this information directly into the chat.
- Users upload a file by selecting the "(+) Add content" button in the chat box. They can also drag and drop a file into the chat box. Uploaded files are stored in a user's OneDrive for Business as part of enterprise data protection.
- Users type '/' in the prompt box to open the ContextIQ menu and search for a specific file they have access to. This adds the file to the prompt for Copilot Chat to reason over, just like if they had uploaded the file.
- Users select a suggested prompt from under the prompt box that contains a file that the user has access to. Suggested prompts containing files are shown to the user based on interaction signals (such as if the file was accessed, modified, or shared with or by the user) and file properties (such as when it was created or last updated by the user).

Option 2 – Use Copilot Chat with open content: In select scenarios, Copilot Chat is aware of the user's open content which enables Copilot Chat to engage with it. This can happen in the following scenarios:

- When using the Copilot Chat side pane in Word, Excel, PowerPoint, OneNote, or Outlook, Copilot Chat is aware of the user's open content like a file, email, note, etc. This allows users to ask questions, generate content, and otherwise engage with that content while using Copilot Chat. Copilot Chat is only aware of the specific content that the user has open and cannot access other work data unless the user provides it.
- When using the Microsoft 365 Copilot mobile app and selecting a suggested prompt with a file, Copilot Chat will use the file's content as part of the response.
- When using Copilot Chat in Edge if the 'Allow access to any webpage or PDF' setting is enabled by the user or admin and an intranet page is open in the browser. In this scenario, Copilot Chat can use the content of this page to help answer questions.

Option 3 – Use an agent that has access to organizational content: Users can also access organizational content through agents that have been grounded in shared tenant data, such as SharePoint or Microsoft 365 Copilot connector content. While using these agents, users can prompt Copilot Chat about the data or content that the agent has access to. Learn more about discovering, creating, or utilizing agents.

Copilot Chat does not use your data to train foundation models.

Generating files

Copilot Chat allows users to generate Word, Excel, and PowerPoint files from prompts. PowerPoint presentations generated by Copilot Chat are stored in the user's OneDrive if storage is available. Copilot-generated Word documents and Excel workbooks are available for download by the user. PowerPoint presentations are also available for download if OneDrive storage isn't available.

General Data Protection Regulation (GDPR)

The May 21, 2018, blog post from Microsoft outlines our commitment to GDPR compliance and how Microsoft helps businesses and other organizations meet their own GDPR obligations. With enterprise data protection, Copilot Chat supports GDPR. Get more details on GDPR when using Microsoft products and services.

EU Data Boundary (EUDB)

Microsoft 365 Copilot Chat calls to the LLM are routed to the closest data centers in the region, but can also call into other regions where greater capacity is available when utilization is especially high.

For European Union (EU) users, Copilot Chat has additional safeguards to comply with the EU Data Boundary. EU traffic stays within the EU Data Boundary, while worldwide traffic can be sent to the EU and other countries or regions for LLM processing.

Microsoft 365 Copilot Chat data residency commitments are outlined in the Microsoft Product Terms and Data Protection Addendum.

Web search queries sent from Copilot Chat to Bing are not EUDB-compliant. See more information on how Microsoft handles generated search queries.